GPE Lecture 3

International Production

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From International Trade…

- In the past two weeks we have focused on the reasons why a country might wish to open its borders for trade, and how a country might regulate that trade via tariffs and quotas.
- Our focus has been on nation states
- The decision to open borders to trade was analysed from the perspective of national policymakers, i.e., in the national government
- Usually done in consultation with business leaders, economists, etc.
- Our models suggest that both absolute advantage and comparative advantage will produce additional results over autarky
- We have also looked at ways in which governments try and manipulate trade, with tariffs, non-tariff measures, and preferred trading agreements

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…to International Production

- Governments should ostensibly wish to maximize utility for their citizens
- But in practise, vested interests, national pride, and other ‘illogical’ concerns can get in the way.
- (National security is perhaps a more legitimate concern, especially with powerful malicious state actors operating.)
- We have seen how limiting trade can create inefficiencies
- Of course, not all ‘inefficiency’ is bad – and that’s where politics and compromise comes in
- This week, we move from the government’s POV (which again, usually includes business leaders and economists), to the POV of individual firms (though in Chapter 12, we move back to national policy)

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Intro to International Production

- In Principles of Economics, we did not have time to introduce much on microeconomics
- We had enough time to do an overview of macroeconomics: GDP, AS/AD, Unemployment, Inflation, Fiscal and Monetary Policy
- Microeconomics, if you recall, deals more with individual markets
- I.e. Supply and Demand, but not at the aggregate level
- And instead of national governments, microeconomics takes the POV of the individual firm, sector, or buyer/seller
- Both firms and individuals tend to operate in specific markets

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Intro to International Production

- We start with a question:
- In international trade, who is doing the producing of goods and services?
- Who makes the goods, who provides the services?
- Individuals?
- But if done on any scale, it is almost invariably a firm (company, corporation, enterprise, or NGO)
- A second question is:
- Why do firms exist?

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Intro to International Production

- …and we don’t have time to get into it, but there is a whole branch of economics called ‘theory of the firm’, which addresses the question:
- Why is it more efficient to lump a bunch of processes under one ‘firm’ – why isn’t everything outsourced?
- Of course, firms do exist, and they seem to be the most efficient way to provide mass-produced goods and services
- Most firms begin as a ‘national’ enterprise, existing within the laws and markets of a single country
- If they grow large enough, they are faced with the question:
- **Should we expand into international markets?**

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Firms

- In your third year, in PRINS, you will have to act as consultant for a firm
- Doing a study to see if they should enter a given market, or adopt a given practise
- This week, we will be looking at some basic choices which face firms who wish to do trade or production internationally
- Our first chapter (10) is on decisionmaking by multinational firms
- Our second (11) is on structuring your firm once you've gone international
- And our third (12), is on whether governments should try and attract foreign firms to produce in their countries, and what policies to use

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Firm Structure

- Before we delve more deeply, we should catch everyone up to speed on the basics of firm structure
- There are two main types of firms: private, and public
- Private firms are owned by the company ‘founder’ and/or their family and heirs
- They are often smaller, but they can grow quite large: e.g. Bloomberg, Price Waterhouse, Mars
- Most large companies, however, are ‘public’
- This means, publicly held, which means, the public owns them

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Firm Structure

- A public company has gone through an IPO (Initial Public Offering)
- This offers stock shares to the public
- The more the public is willing to pay for shares, the more money a firm has to expand (it uses that money as capital to expand operations)
- So public firms often get much larger, because they can tap stock markets for investment funds
- Shareholders appoint a board, who appoints the CEO
- Public companies (ironically?) are run like mini-democracies
- This is statistically the best way to run a company, with the most consistent positive results

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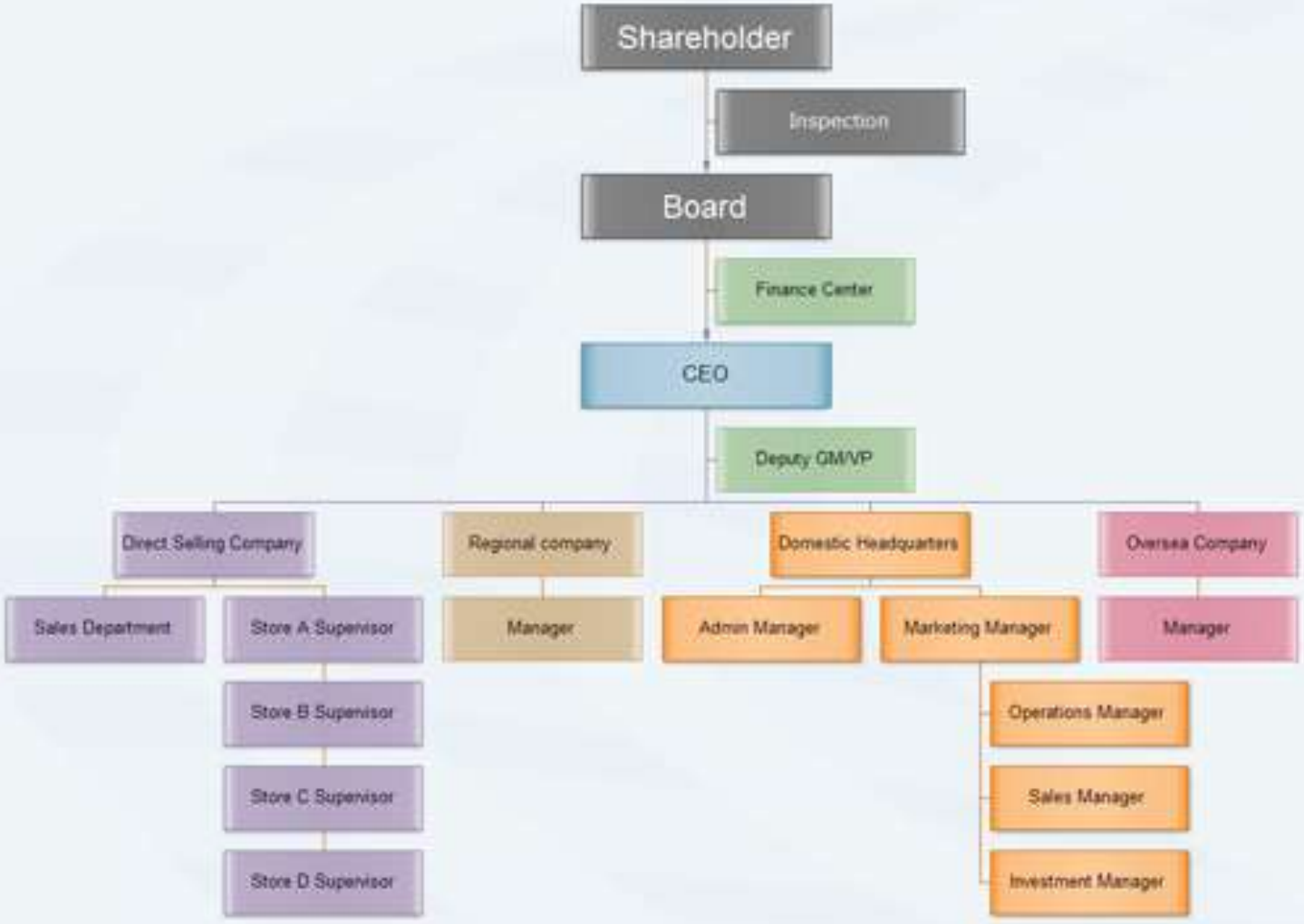
Corporation Organization Structure



Decisionmaking by Firms

- The basis of microeconomics can be boiled down to two questions:

1) Should we do A, or B? (The ‘either/or’ question)
2) If A, how much of A should we do? (The ‘how much’ question)

- A way to decide the answers to these questions is to do a:
- The cost/benefit analysis
- It is a version of Supply/Demand, but it measures an individual’s or company’s benefit, versus the cost they incur to do more of a given task
- It is the economic basis of decisionmaking
- Companies must make decisions (all the time)
- Should you do task A?
- If so, how much?
- Standard economic logic says: you do something until the marginal cost equals the marginal benefit
- I.e., as long as the marginal benefit outweighs the marginal cost, then it is profitable to keep doing it, and to do more of it

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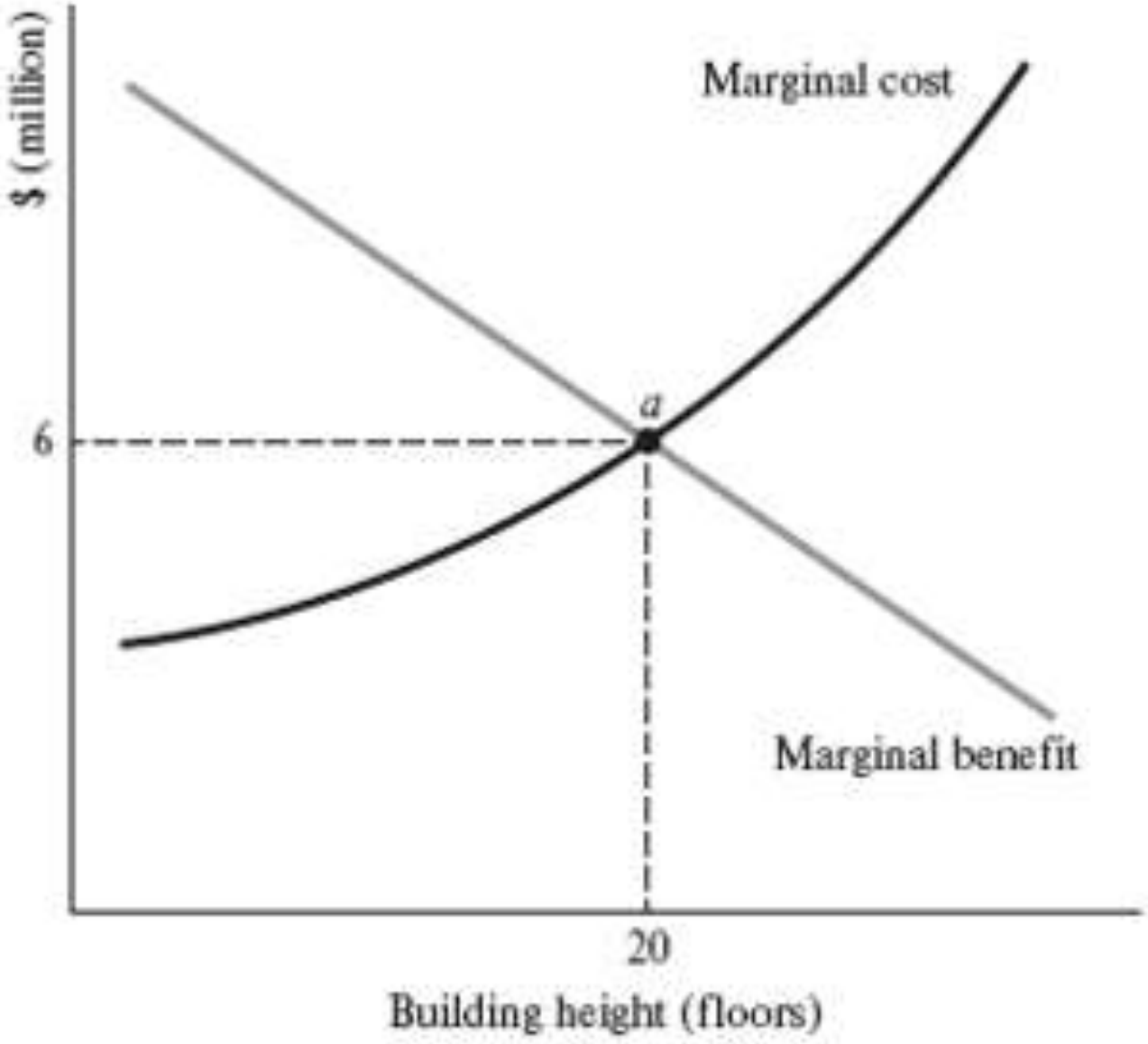
Figure 2–1 The Marginal Principle



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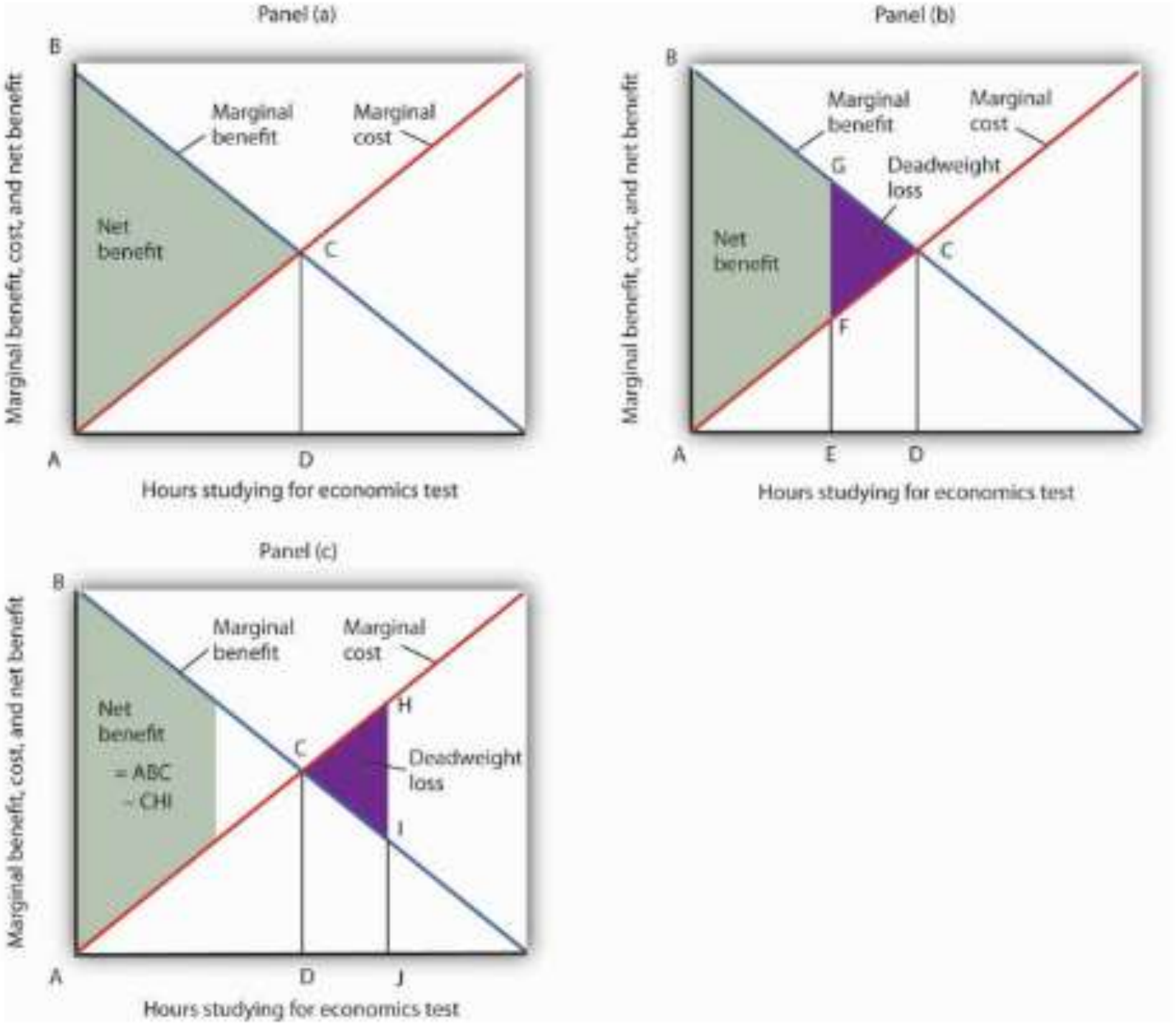

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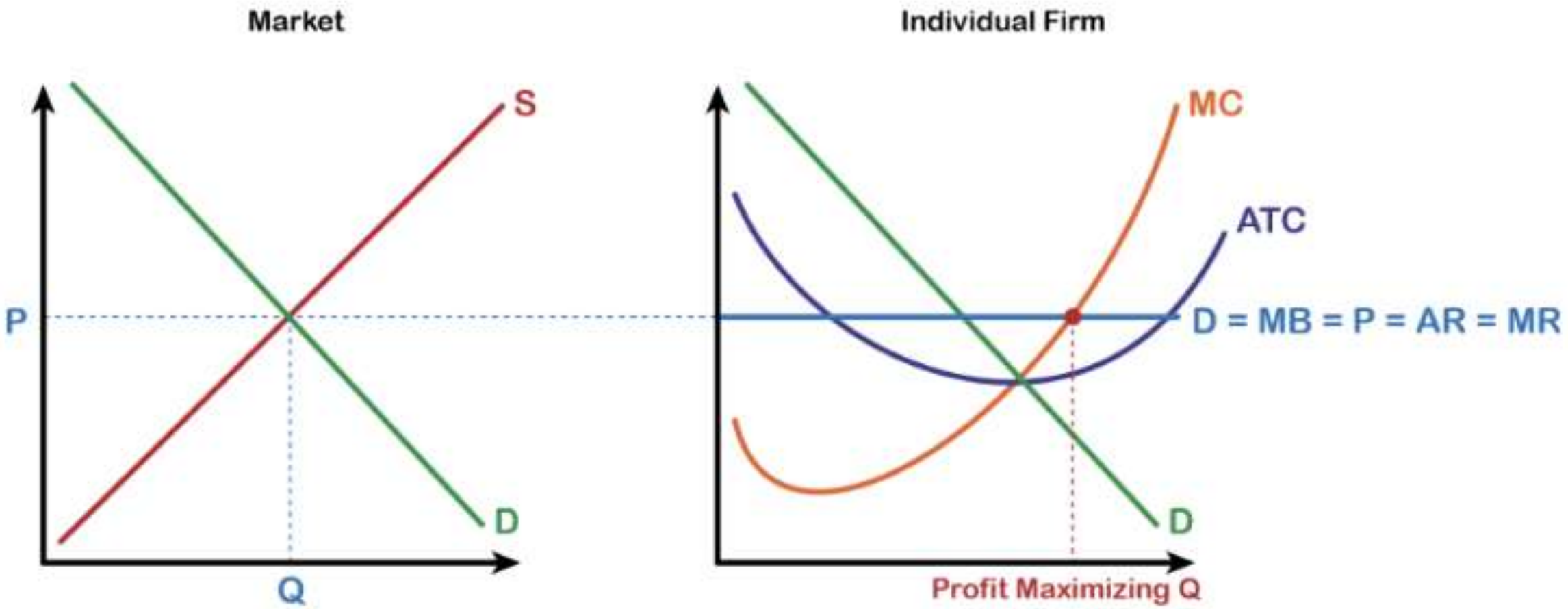
Since a perfectly competitive firm is a price taker, it can sell whatever quantity it wishes at the market-determined price. We calculate marginal cost, the cost per additional unit sold, by dividing the change in total cost by the change in quantity.



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International Production

- When you are a large firm, you have the choice to start exporting to international markets, to increase profit
- This involves a decision: Should we sell internationally? And if so, to which international markets?
- Companies decide to go international to a specific country if the marginal benefit outweighs the marginal cost
- But there are different ways to “go international” with regards to selling and producing
- At first, companies tend to export. That is, they produce domestically, and sell internationally
- But they might realize that it is cheaper if they also produce internationally as well
- This opens up further possible decisions

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International Production

- If a company wants to keep things most simple, they will simply **export** domestically-made goods
- This is the first level of **foreign market entry**
- A second level of foreign market entry occurs when they choose to **contract**, or outsource, a foreign firm to make things for them
- The danger is that they have little control, and the foreign firm might later steal their tech, patents, or markets
- The third level of foreign market entry is if they purchase a foreign firm themselves, or else create a new plant from scratch; these are versions of **Foreign Direct Investment**, or FDI

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Category	Mode	Characteristics
Domestic	None	The home-country firm is a purely domestic firm relying solely on its home market for sales.
Exporting	Indirect exporting	The home-country firm relies on another firm, known as a sales agent or trading company, to complete the export transaction.
Exporting	Direct exporting	The home-country firm takes on the export transaction itself.
Contractual	Subcontracting	The home-country firm contracts with a foreign firm to produce a product to certain specifications (materials, processes, and quality). Also known as outsourcing and contract manufacturing.
Contractual	Licensing	The home-country firm licenses a foreign firm to allow it to use the home-country firm's production process (including logos, trade-marks, designs, and branding) in the foreign country.
Contractual	Franchising	The home-country firm licenses a foreign firm to allow it to use the home-country firm's production process in the foreign country but exerts more control over production and marketing to ensure consistency across foreign markets. The home-country firm also provides assistance to the foreign firm to ensure this consistency.
Investment	Joint venture (JV)	The home-country firm establishes a separate firm in the foreign country that is jointly owned with a foreign-country firm.
Investment	Mergers and acquisitions (M&As)	The home-country firm buys part (merger) or all (acquisition) of the shares of an already existing production facility in the foreign country.
Investment	Greenfield investment	The home-country firm establishes a brand new production facility in the foreign country that it fully owns.

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Foreign Market Entry

- You will see various options:
- Staying Home
- Exporting
- Contractual
- Investment
- These increase in complexity, and/or involvement in the foreign market
- Each of these have various permutations

Foreign Market Entry

- To begin exporting, you can enter in an **indirect exporting** mode
- Rely on intermediary, a sales agent or trading company to complete the export transaction
- More intensive is a **direct exporting** mode
- Here, you have to take on research, marketing, finance, logistics involved in the trade transaction: a lot of it involves the management team familiarizing itself with foreign law codes, and regulations
- As experience is built amongst management, the task becomes easier, and less riskier

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Foreign Market Entry

- Simple exporting might run into snags
- Perhaps quotas or regulation; perhaps it will find that sales can improve by doing product finishing, service, or sales techniques that simple exporting will not do
- E.g., you export but then foreign sales people do not know how to sell your product
- Or, local products have a certain look, or accessory that yours does not, and it requires local expertise/materials to do this
- Still, the commitment level here is that you have foreign firms work for you

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Foreign Market Entry

- Three types of contractual foreign market entry (FME)
- **Licensing**: Sell a license to a foreign firm to allow it to use the home-country firm's production process; including logos, trademarks, designs, branding; foreign firm pays royalties: often about licensing technology (this is often used by manufacturing firms)
- **Franchising:** Licensing, plus exercising more control to ensure consistency: often a retail arrangement (e.g. fast food)
- **Subcontracting:** Hiring foreign firm to produce a product to certain specifications (materials, processes, and quality).

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Mode	Degree of control	Level of resource commitment	Degree of dissemination risk
Trade	Low	Low	Low
Contractual	Low	Low	High
Investment: joint venture	Medium	Medium	Medium
Investment: M&A or greenfield	High	High	Low

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Foreign Market Entry

- Investment: is the most ‘’committed’’ form
- And the riskiest: this involves substantial amount of capital
- Also a time commitment: because it usually takes several years for a company to begin turning a profit
- When a firm invests abroad in production/sales we call this **FDI**
- One type of FME investment is a **Joint Venture** (JV):
  - establishing a new firm which is jointly owned with a foreign firm: thus, you can rely on foreign expertise of the foreign market
- Sometimes this is required by law to avoid many foreign firms entering and putting local firms out of business

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Foreign Market Entry

- In addition to JVs, we have the **M&A**
- This stands for ‘’Mergers and Acquisitions’’
- The most common form of FDI
- If a company buys part of the shares of a foreign company, we call this a merger (Daimler-Chrysler)
- If it buys all, we call it an acquisition (e.g., Microsoft buying Mojang)
- Attraction: already existing company, with successful product, market, etc., easier than starting from scratch, esp in a foreign market
- M&As tend, historically, to come in waves, when economic and political conditions are favorable
- Finally **Greenfield Investment**: Start from scratch

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Motivations for International Production

- Why might a company choose to go abroad? There are different ways in which “profit” (marginal benefit) can be made.
- **Resource Seeking:** Home company wants resources from the foreign country
- Natural resources, or human resources, or technologies
- **Market Seeking**: This is how large companies attempt to continually increase their profits
- You might need to engage in international production to adopt or tailor products to local needs
- Might be necessary to deliver a product (e.g. financial services)
- Or necessary for intermediate goods

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Motivations for International Production

- **Efficiency seeking**
- To rationalize the structure of established resource-based or market-seeking investment in a way that the company can gain from the common governance of geographically dispersed activities
- Economies of scale, economies of scope (producing 2 or more things together, b/c. e.g. they go into the same product, or firm-level economies)
- Most suited to Multi-National Enterprises (**MNE**s)
- **Strategic asset seeking**: to beat out other competitors in an oligopolistic game of international advantage

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Entry Mode Choice

- One of the most important determining factors is knowledge capital
- This means knowledge that individuals have in a firm
- But also that owned by a firm: technology, patents, etc.
- There is a ‘’dissemination risk’’ that a foreign firm will gain knowledge of special processes, etc.
- FDI is therefore a favored means of entry by knowledge intensive firms
- E.g. Flexicon with its screw conveyor technology
- A robust correlation between knowledge-intense firms and FDI

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Leading Sources of World FDI, Percent of Global Outward Stocks

Source	1980	1990	2000	2010	2017
United States	43	24	22	23	25
United Kingdom	16	13	15	8	5
Germany	8	8	9	7	5
France	4	6	7	6	5
Japan	4	11	5	4	5
China	0	0	0	2	5
Brazil	0	2	1	1	1
All developing	3	8	14	15	22

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Leading Destinations of World FDI

Destination	1980	1990	2000	2010	2017
United States	16	20	22	17	25
United Kingdom	12	10	8	5	5
Germany	7	6	5	5	3
France	5	5	5	3	3
Japan	1	1	1	1	1
China	0	1	3	3	5
Brazil	3	2	2	3	2
All developing	26	27	30	30	33

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MNE Design

- Companies will divide themselves into different “forms”
- Depending on the types of products they sell, and how many countries they operate in
- Functional divisions mean, dividing the company by the function: management, production, sales, R&D
- A single foreign division would manage all functions in the foreign market
- Product divisions divide the company so that each product is managed independently, with production, sales, marketing, etc. all under one ‘roof’
- But more will be said on firm structure in the next chapter

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MNE characteristics	MNE intra-firm design
Single product, single country	Functional divisions
Single product, few countries	Single, foreign division
Single product, multi-country	Country/regional divisions
Multi-product, few countries	Product divisions
Multi-product, multi-country	Mixed structure based on matrix management or "heterarchy"

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Chapter 11: Global Value Chains

- In this chapter we look at the types of tasks that companies have to assign and organize, in order to successfully produce things internationally
- We have seen that they opt to produce internationally because they will gain additional profits from doing so
- Now, we will see more details about how and why they organize their corporate structures in the way that they do
- A crucial aspect is **Intra-Firm Trade**, which makes up a very large percentage of global trade (about 1/3)
- Intra-firm trade means, when parts of a company produce, and then sell things, to other parts of the same company (which might or might not do entirely different things, but which have the same ownership)

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Task Assessment

- A major thing that managers have to do, is make sure that they rationalize the production process
- This can be divided into tasks
- These task charts are called **value chains**
- You can move vertically upwards and downwards in your value chain, and also, if you are multinational, you can move horizontally
- And each task (or maybe every task) can be done in a different country, when you are a Multi-National Enterprise (MNE)
- A value chain graph follows:

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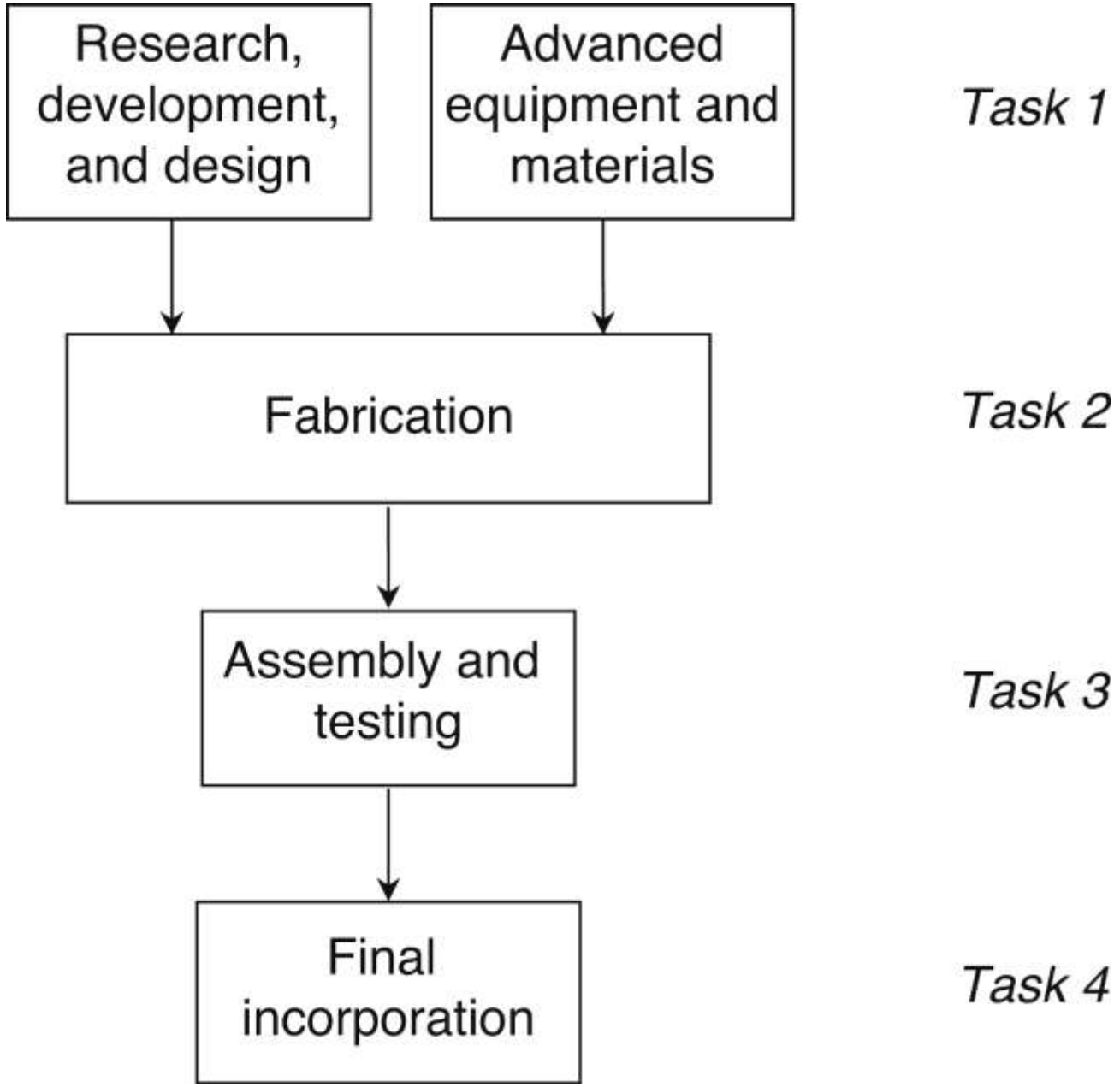

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Firm Structure

- Once you have plotted your major production tasks, corporate strategists then decide which tasks to allot to which countries
- Let’s say the firm Intel could operate in two countries, the US and Costa Rica
- They could have two separate processes, which do everything from R&D to final incorporation
- Or, they could assign some tasks to one country, and some to another
- Intel decided to do R&D in the US, and also fabrication, and some assembly and testing
- But, they decided not to do equipment and materials sourcing in either country; and they decided not to do final incorporation (building the final product) in either country
- The dotted lines show where they could do a task, but don’t

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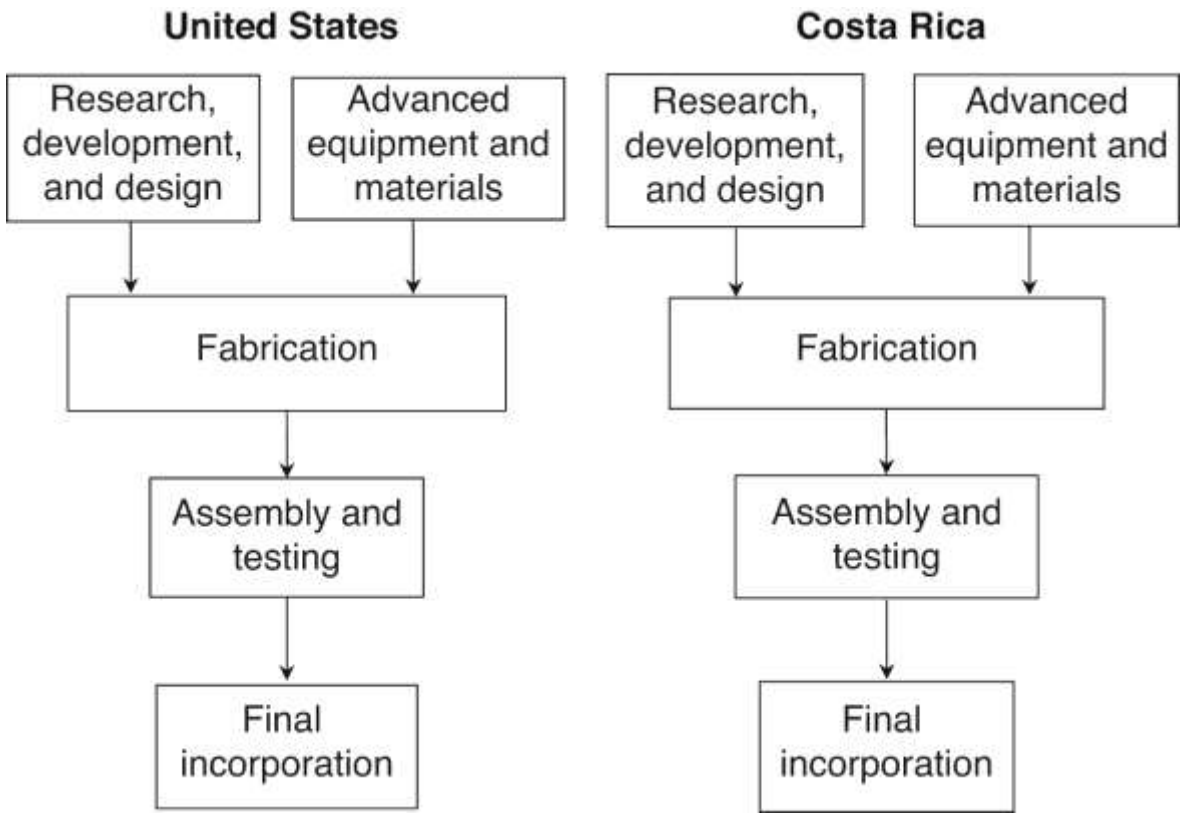

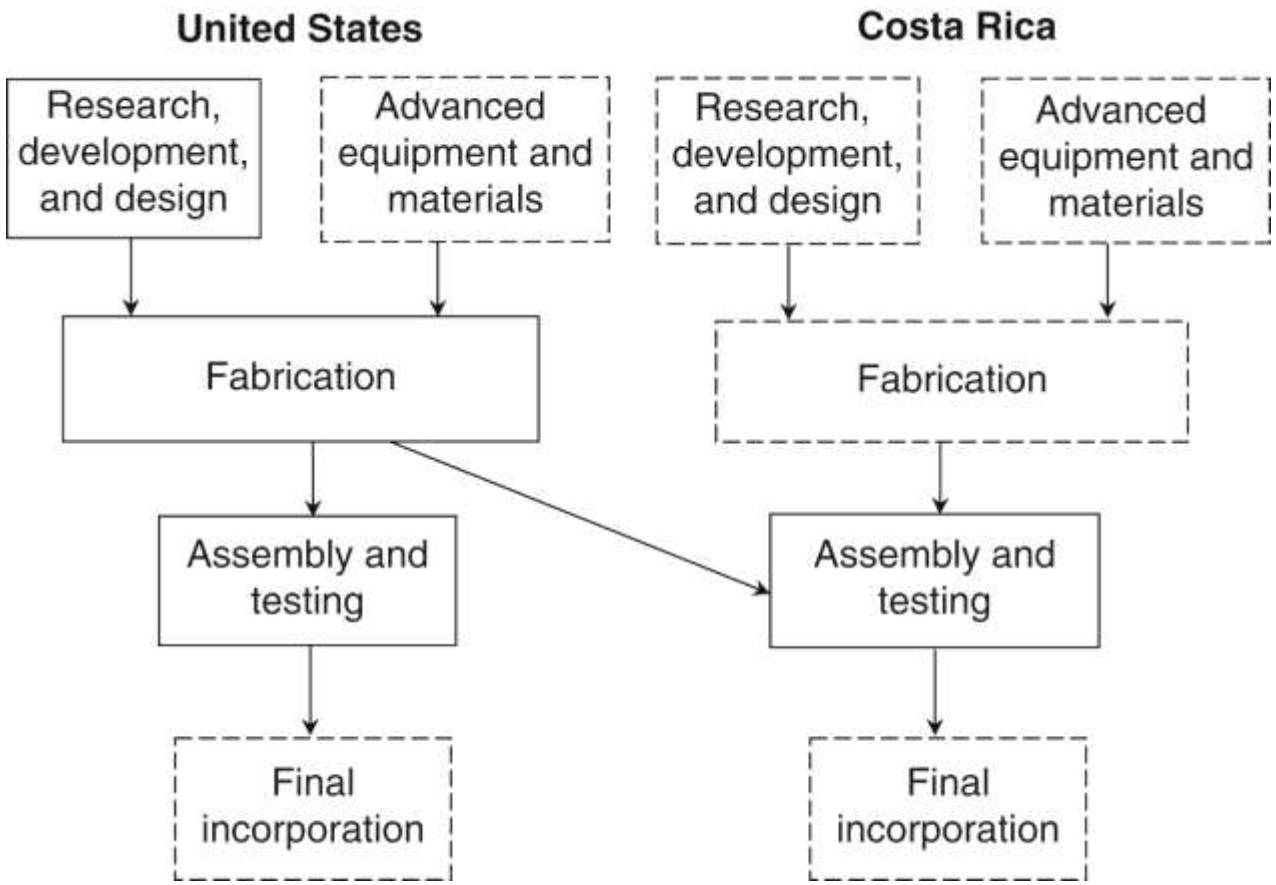

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Why do MNEs do certain tasks in Country A, but others in Country B?

- Corporate strategists have to determine that there is an "**efficiency gain**" for a MNE to do a task in a given country
- Operating in another country always has drawbacks, there are increased costs, including communication, transportation, etc.,
- And also increased legal fees, and regulation
- To offset this, you need an efficiency gain
- **Firm-specific assets** means that your company's collection of tangible (e.g. machines, office space) assets, plus intangible (expertise, good working relationships) assets, makes the decision to produce in a certain country efficiency gaining
- This will be different for each firm

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MNE Decisionmaking

- We can sum up this part by pointing out that MNEs choose to engage in international production based on a three-fold decisionmaking process:
- Tasks – dividing up your production process into this
- Location – Choosing where to do the task
- Mode—Choosing whether you will contract, or invest, and how
- (NB you don’t have to do the section in your book on cost-analysis of production)

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The Smile

- One final point is that what really matters in Global Value Chains is the amount of **value added** which a task adds to the total value of the product
- The things which people tend to think about most, which includes manufacturing, tend to add the least value added during the process
- On the other hand, R&D, branding, advertising, and after-sales support tend to add a lot of value added
- Some argue that this is good for developed countries
- Others can argue that it is bad, relatively for developing ones
- In general, you will learn more about value chains in the 2nd half of GPE, where you talk about the political economy of these chains

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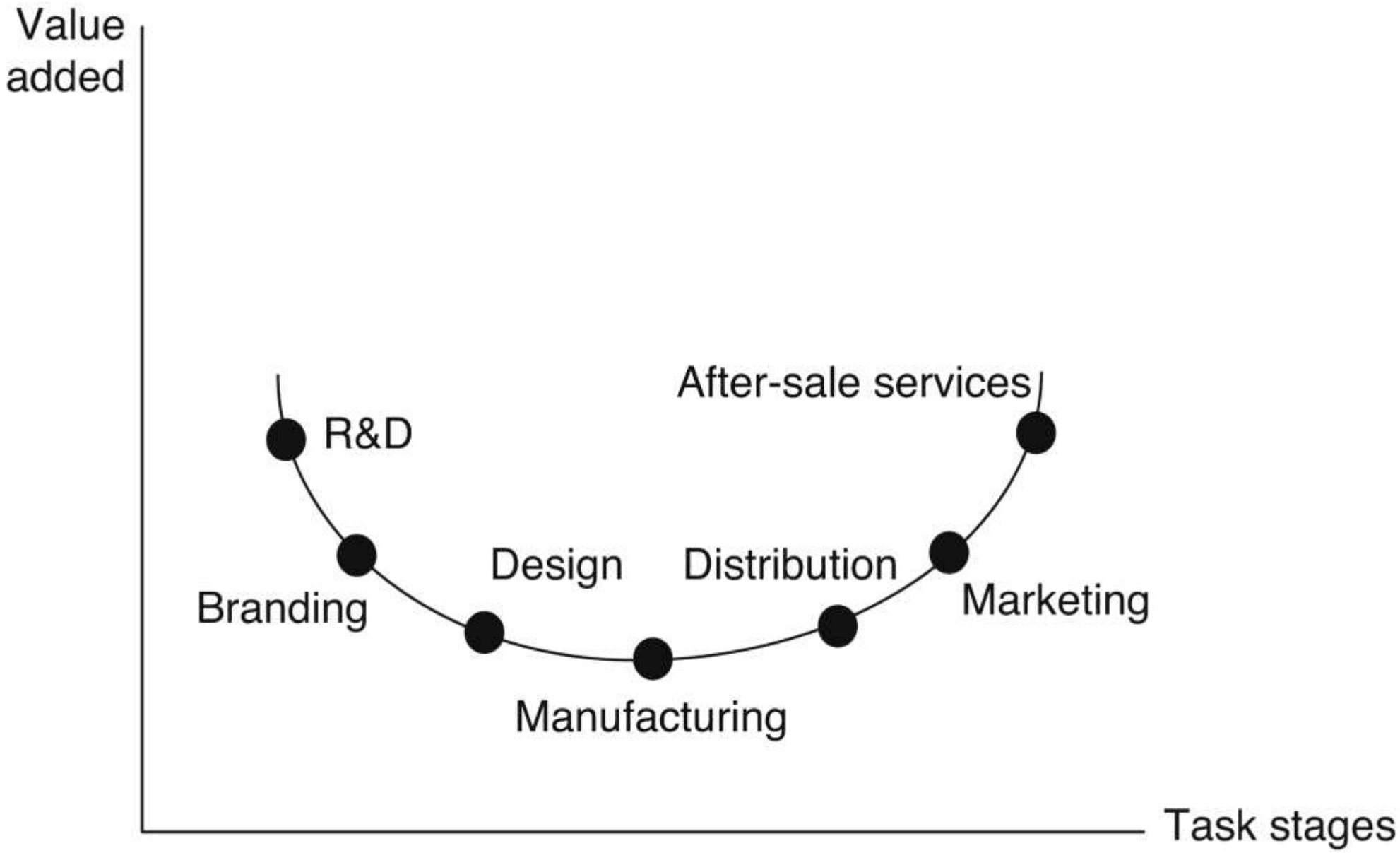

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International Production and Policy

- In the 2nd half of GPE, you will look more at GVCs and FDI, and the regulation of this, and the costs and benefits of it
- Chapter 12 provides a sort of introduction to the ways in which governments engage individual firms…
- …And how policies affect firm decisions
- This will also tie in some of our previous discussions of trade policy
- It first looks at how governments and countries attract FDI—i.e. become a desirable destination for FDI
- Then we do a cost/benefit analysis of whether attracting FDI is good
- Next we look at policy stances that countries can adopt towards FDI

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Attracting FDI

- Most FDI goes to global north still
- And only a few low-income countries receive much FDI
- Location does matter, and these tend to be concentrated
- Institutional issues are also relevant: government has to be amenable, and also security of assets, etc.
- Also international property and patent protection
- This is a key element: if local firms can simply copy your process, you will not invest in a plant or engage in other FDI

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Attracting FDI

- BIT: Bilateral investment treaty
- BITs: Protect capital flows between two countries, and restrict taxation, etc.
- This type of treaty is extremely important to assure investors
- RIT: Regional investment treaty
- IIAs: International Investment Agreements
- UNCTAD: UN Conference on Trade and Development
- Keeps track of FDI:
- https://unctad.org/en/pages/newsdetails.aspx?OriginalVersionID=2118

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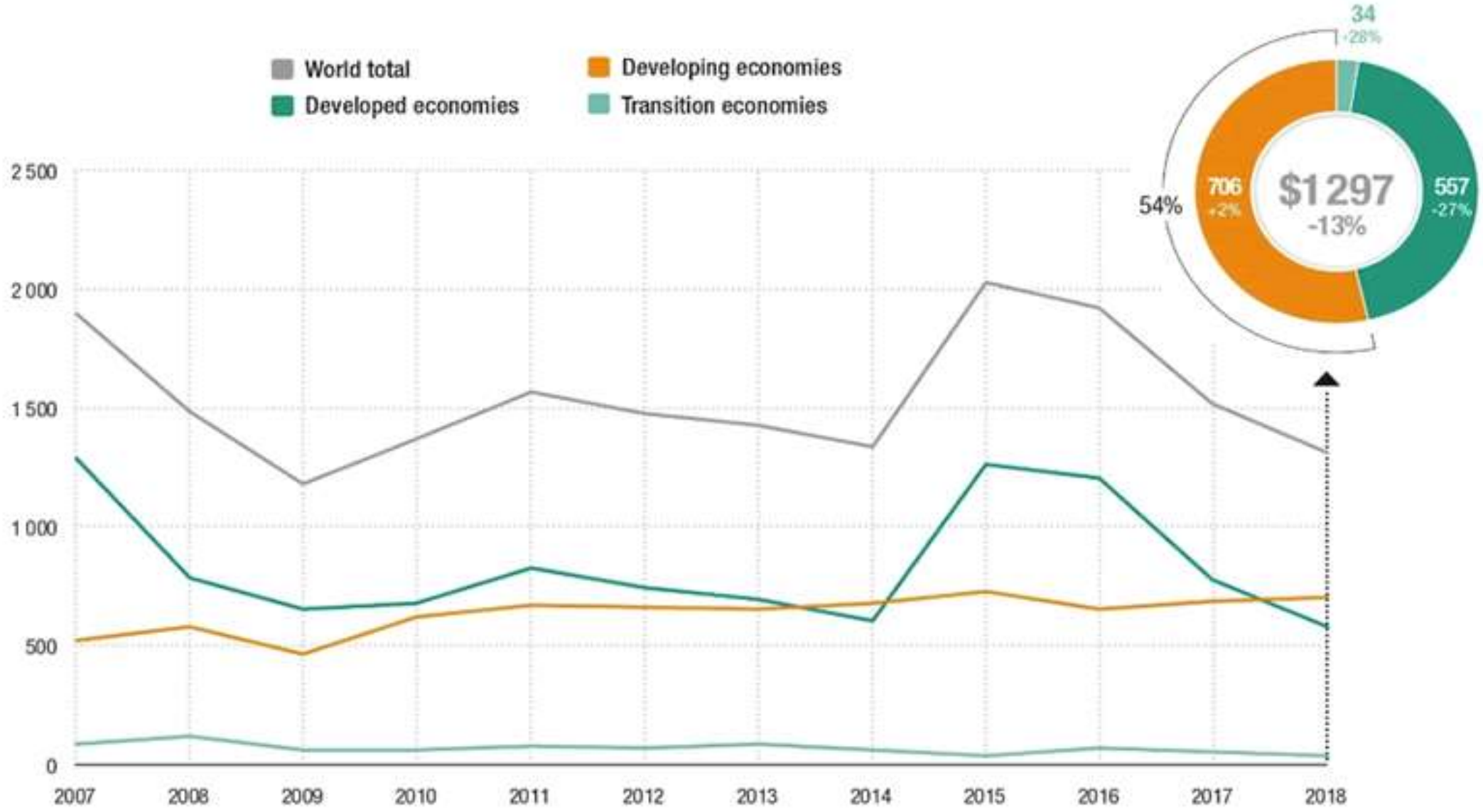
Foreign direct investment inflows, global and by group of economies, 2007-2018

(Billions of dollars and per cent)



Benefits, Costs, and Spillovers from FDI

- The following tables are pretty self-explanatory
- But, they are very important
- They list the major benefits,
- And also the major costs, according to several key economic areas
- It is difficult to say in general, whether MNE FDI is good or bad
- In general, it tends to create more jobs, and cheaper stuff

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Benefits, Costs, and Spillovers

- It certainly creates more value for the global economy, but for whom?
- As for tax revenues, these often have to be minimal, since countries are in a steep competition to attract MNEs, and usually the “carrot” is the jobs they provide
- And the potential spillover effects
- As you see from 12.2, the science on possible spillover effects, both positive and negative, is still out. It’s surprisingly difficult to measure all of the possible benefits

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Item	Benefits	Costs
Employment and wages	Generates direct and indirect increases in employment. Might offer higher wages.	Transfers jobs from home to foreign firms.
Competition	Promotes competition by increasing the number of firms in an industry.	Retards competition in cases in which the foreign firm has a large amount of market power.
Education and training	Improves the education and training of host-country workers.	Restricts education and training to expatriate employees. Discriminates against host-country workers.
Technology	Transfers technology from developed to developing countries.	Technology employed might not be appropriate for the host-country economy.
Balance of payments	Improves the import and export components of the current account. Improves the direct investment component of the capital/financial account.	Worsens the import component of the current account. Worsens the net factor receipt component of the capital/financial account.
Health and the environment	Employs new technology that is more environmentally sound. Increases incomes and thereby makes more resources available for the enforcement of existing environmental regulations.	Increases the amount of pollution and subjects workers to unsafe workplaces.
Culture	Introduces progressive aspect of business culture in the areas of organizational development and human resource management.	Increases dominance of urban and Western culture over rural and non-Western culture.

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Study	Country	Findings
Aitken and Harrison (1999)	Venezuela	Two effects of FDI on local firms. First, a positive relationship between foreign equity and performance in plants with fewer than 50 workers. Second, negative spillovers from market-stealing effects. On net, evidence of only a small impact of FDI on plant productivity.
Anwar and Nguyen (2014)	Vietnam	Positive spillovers do exist but vary significantly by region and can be zero in some regions.
Arnold and Javorcik (2009)	Indonesia	Evidence of positive spillovers thanks to acquisition and restructuring of domestic firms. Foreign ownership leads to higher productivity and share of skilled workers.
Blalock and Gertler (2008)	Indonesia	Evidence of positive spillovers thanks to technology transfer to local suppliers and positive externality from these suppliers to other downstream buyers.
Blomström (1986)	Mexico	Evidence of positive spillovers thanks to increased competition.
Blomström and Persson (1983)	Mexico	Evidence of positive spillovers associated with increased technological efficiency.
Blomström and Sjöholm (1999)	Indonesia	Evidence of positive spillovers thanks to increased competition being restricted to non-exporting local firms.
Fauzel, Seetanah, and Sannasee (2015)	Mauritius	Evidence of positive spillovers, especially in the long run. In the short run the effects are very small.
Haddad and Harrison (1993)	Morocco	Although the dispersion of productivity levels is narrower in sectors with more foreign firms, no evidence of positive spillovers.
Kohpaiboon (2006)	Thailand	Foreign firms can either positively or negatively affect the productivity of local firms, depending on the trade regime.
Kokko (1994)	Mexico	Potential positive spillovers are negatively related to productivity gaps between MNEs and domestic firm and differ between industries.
Kokko, Tansini, and Zejan (1996)	Uruguay	Little evidence of positive spillovers, with only a small effect when the technology gap between local and foreign firms is small.
Kugler (2006)	Colombia	Evidence of spillovers to local upstream suppliers through diffusion of generic upstream suppliers.
Liang (2017)	China	Domestic firms with high absorptive capacity benefit from foreign suppliers but not from foreign customers.
Liu (2002)	China	Evidence of positive spillover effect on domestic sectors through technology transfers.
Marin and Bell (2006)	Argentina	Evidence of positive spillovers conditional on activity of MNE subsidiaries. Spillover effects depend on the local knowledge creation of subsidiaries.
Wei and Liu (2006)	China	Evidence of positive spillovers.

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Policy Stances

- One of the major ways that governments can attempt to gain MNE investment, is through policy
- If policies are bad, then MNEs will stay away
- There also have to be certain fundamentals
  - Stability
  - Lack of violence
  - Good governance
  - Favourable financing laws
  - Favourable intellectual property laws
  - Lack of red tape, restrictions
  - Good infrastructure (ports, railways, highways)
  - Good environment for human capital

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Policy Stances

- If a country/area has met these fundamental requirements
- Then, governments can begin to negotiate, in order to gain advantages
- The key of course, is that they have to try and gain as many advantages as they can
- Without scaring off the MNE which is interested in engaging in FDI
- Once an agreement is reached, both parties will tend to agree that the terms of the investment cannot be changed for 5 or 10 years or more
- This is because FDI takes time, and massive financial commitment

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Measure	Explanation	Comment
Local content requirement	Requires that a certain amount of local input be used in production.	Prohibited by TRIMs
Trade balancing requirement	Requires that imports be a certain proportion of exports.	Prohibited by TRIMs
Foreign exchange balancing requirement	Requires that use of foreign exchange for importing be a certain proportion of exports and the foreign exchange brought into the host country by the firm.	Prohibited by TRIMs
Domestic sales requirement	Requires that a proportion of output be sold locally.	Prohibited by TRIMs
Manufacturing requirement	Requires that certain products be manufactured locally.	
Manufacturing restriction	Prohibits the manufacturing of certain products in the host country.	
Export performance requirement	Requires that a certain share of output be exported.	Prohibited or discouraged by many BITs and RITs
Exchange restriction	Limits a firm's access to foreign exchange.	
Technology transfer requirement	Requires that certain technologies be transferred or that certain R&D functions be performed locally.	Prohibited or discouraged by many BITs and RITs
Licensing requirement	Requires that the foreign firm license certain technologies to local firms.	
Remittance restriction	Limits the right of the foreign firm to repatriate profits.	
Local equity requirement	Restricts the amount of a firm's equity that can be held by local investors.	Prohibited or discouraged by many BITs and RITs

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Policy Stances

- The above stances can be divided into:
- **Ownership requirements**
- **Performance requirements**
- Ownership requirements: e.g.: foreign firms excluded from certain sectors on national security grounds; e.g. petroleum
- Or limit foreign ownership to a maximum specified amount
- China once limited foreign enterprises to joint ventures with Chinese firms in which the foreign firm could own a maximum of 50 percent of the venture

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Policy Stances

- Performance requirements:
- Place controls on the behavior of the foreign firm in a number of areas
- MNE has to maintain a minimum level of locally sourced intermediate inputs: Local content requirement
- Also in areas of training, tech transfer, exports, local R&D, and hiring of local managers
- **TRIMS**: Trade Related Investment Measures, some of these are prohibited by Marrakesh Agreement
  - Some times include domestic content, trade balancing, Forex balancing, domestic sales requirements

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Policy Stances

- **EPZ**: Export Processing Zone
- Special place for MNEs to locate
- Enjoy a number of concessions bundled together
- Including favorable treatment in infrastructure, taxation, tariffs on imported intermediate goods, and labour costs
- Will export most of their produce from this area
- These are also controversial; arguably they create jobs; but also allow MNEs to get away with little taxation

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Promoting Linkages

- A key goal for local officials dealing with an MNE is to create **backward linkages** to domestic suppliers
- I.e., domestic companies will provide intermediate goods
- Also financial services, security, delivery, etc.
- If this is done, it can greatly increase the benefit of having an MNE in the host country
- Instead of local content requirements, globalists prefer to encourage contracting
- Also they wish to avoid transfer pricing, which is to make cost of intermediate goods in high tax countries less

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Governing International Production

- As we've seen, WTO governs international trade
- IMF governs international finance
- But international production is not governed by any internationally recognized agreement
- There are 2 components: constraining the actions of the host countries towards MNEs
- Also constraining behavior of MNEs
- OECD (Organization for Economic Cooperation and Development) attempt to liberalize terms on FDI:

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Governing International Production

- In 1995: OECD attempts to implement **MAI**
- Multilateral Agreement on Investment
- Host countries apply national treatment to foreign firms
- Opposed by India and Malaysia
- But many countries including US and France wanted exceptions
- Perhaps this will be taken up by WTO: he says, in 2008-2012: but now this seems unlikely

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Conclusion: Regulation of Inward FDI

- In balance, FDI is a two-edged sword
- It can provide benefits and costs
- Global thinking was long in favor
- It was assumed until 2016, by most economists (all but a few political economists!), that this would be the way of the future
- Now we are in a time of upheaval of long-established trends, though who knows if Trump's tariffs will make FDI more attractive, or not?
- Does the future hold more FDI, or less?
- And will regulation favor this, or oppose it?

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